

What does GIFT IFSC offer?

- 100% tax exemption for 10 years
- No GST on services received/provided to units or transactions carried out in IFSC
- Exemptions from taxes on security/commodity transaction and stamp duty
- State subsidies on lease rentals and PF contributions
- 100% reimbursement of electricity duty for five years
- Operating expenditure, or Opex, subsidy@15% for five years

What is holding it back?

- Inability to attract talent due to absence of social infrastructure that Indian metropolitans and fintech hubs like Mumbai offer
- Gujarat's liquor prohibition law
- 10-year tax holiday too short when compared to global hubs like Dubai
- Fear of changes in tax law and concern for long-term future owing to the usual rough and tumble of politics

in this built-up area within the IFSC & SEZ and 70 more in the DTA, with 35 fintech entities already operational. So are 33 international banking units with a cumulative asset size of $36.5 bn (Rs 2.99 lakh crore) and 63 fund management companies with $14.6 bn (Rs 1.19 lakh crore) committed capital. The regional headquarters of the New Development Bank—a multilateral bank developed by the BRICS states—is also coming up at GIFT. Apart from Google, other companies that have taken space here include IBM, Oracle, Maxim Integrated, TCS and Cybage. To provide financial, legal and other consultation services, firms like PricewaterhouseCoopers (PwC), EY, KPMG, Cyril Amarchand Mangaldas and Grant Thornton Bharat have set up shop.

So what brings companies and institutions to GIFT IFSC? The offerings are compelling—100 per cent tax exemption for 10 years, no goods and services tax (GST) on services received and transactions carried out in IFSC, exemptions from stamp duty and taxes on security or commodity transactions, and state subsidies on lease rentals, electricity and PF contributions, to list a few. With the infrastructure push and policy support to boot, the Union government is betting big on GIFT City to realise the country's fintech potential, positioning it as a global financial and IT services hub to rival Singapore, Hong Kong and Dubai. A June 2021 paper by PwC states that the presence of a unified regulatory authority, tie-ups with international regulators and financial institutions, and the ability to issue licences and provide tax incentives to fintech companies are some of the policy-backed advantages of GIFT City over the country's other commercial hubs like Mumbai and Bengaluru.

GIFT also aspires to emerge as the hub of shipping contracts, since the ship-breaking industry at Alang in Gujarat's Bhavnagar district is among the largest globally. Under the state government's ambitious Gujarat Maritime Cluster (GMC) Development Scheme, the fledgling ship-building industry is also expected to take off soon. GMC intends to develop a "maritime business ecosystem for shipping businesses to operate anywhere in the world, a one-stop solution for shipping players, logistics service providers and relevant government regulatory agencies, all housed in GIFT City", according to the GMC website. What's more, Gandhinagar is wooing start-ups too. An incubation centre has been recently set up, and GIFT City is attracting international venture capital funds through the global banks that have opened their offices here. In fact, less than a week after the California-headquartered Silicon Valley Bank collapsed in mid-March, the Union minister of state for electronics and information technology Rajeev Chandrasekhar had claimed that of the more than $1 billion (Rs 8,210 crore) deposits of the Indian start-ups parked in it, about $200 mn (Rs 1,640 crore) had moved to GIFT IFSC.

CAN GIFT CITY BECOME A GLOBAL FINANCIAL HUB?

The jury is still out on that, despite the all-around excitement. There are several reasons for this scepticism, and the long gestation period—typical of such projects—is not one of them. Rather it is whether it can compete with Mumbai, Bengaluru, Gurugram and Hyderabad, the Indian cities that already have established fintech ecosystems, let alone the global peer it aspires to be (see *Tough Competition*). This concern stems from the fact that highly-skilled human resource drifts towards the lifestyle these urban hubs offer, which sleepy Gandhinagar cannot provide, not to mention liquor prohibition in Gujarat.

Though Shah claims the existing buildings can employ around 20,000 people, those working here confide